annual report, a summary of material changes that occurred over the prior year), and timely notifications to shareholders pursuant to proposed rule 498B regarding material fund changes as they occur. Reliance on the rule is voluntary; however, compliance with the rule's conditions is mandatory for funds relying on the rule. Responses to the information collections would not be kept confidential.

Because a fund's reliance on proposed rule 498B would be voluntary, the percentage of funds that would choose to rely on the rule is uncertain. We generally anticipate that the proposed rule would provide costs savings to funds, and so we assume that the vast majority of funds would rely on rule 498B to satisfy their prospectus delivery obligations.[868] For purposes of this estimate, we assume that funds that currently rely on rule 498 generally would rely on proposed rule 498B. We believe this assumption is appropriate because funds that rely on rule 498 are funds that have already chosen to rely on a rule that provides an alternative means of satisfying prospectus delivery obligations, and because certain of the conditions of proposed rule 498B overlap with similar conditions to rely on rule 498.[869] Therefore, we assume that these funds would experience some efficiencies in coming into compliance with proposed rule 498B. Based on these assumptions, we estimate that 90% of mutual funds and ETFs would choose to rely on rule 498B.[870]

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868 *See supra* section III.C.2.d (discussing the anticipated cost savings associated with rule 498B).

869 For example, the set of documents that funds relying on 498B must post online would be identical to the set of documents that are publicly accessible online for funds currently relying on rule 498. Therefore, for funds currently relying on 498, there would be no added burden to comply with this requirement.

870 We estimate that 93% of funds use summary prospectuses. *See supra* footnote 12. Funds that use summary prospectuses under rule 498 already meet several of the conditions of proposed rule 498B, which we believe would lead most of these funds to rely on proposed rule 498B due to the lower compliance costs of relying on the new rule. As a result, and to simplify our calculations, we estimate that 90% of funds would rely on proposed rule 498B.

The table below summarizes the proposed estimates for internal and external burdens associated with this new requirement under rule 498B:

TABLE 12: RULE 498B PRA ESTIMATES

	Internal initial hour burden	Internal annual burden hours[1]	Wage rate[2]	Internal time costs	Annual external cost
Preparation of notice of material changes	12 hours	8 hours[3]	$336 (blended rate for compliance attorney and senior programmer)	$2,688	
Preparation of summary prospectus[4]	30 hours	20 hours[5]	$336 (blended rate for compliance attorney and senior programmer)	$6,720	
Website availability requirements[6]	12 hours	8 hours[7]	$239 (webmaster)	$1,912	
Delivery Upon Request					$500
Total Burden per Registrant		36 hours		$11,320	$500
Number of registrants		× 11,169 funds8		× 11,169 funds	× 11,169 funds
TOTAL ESTIMATED BURDENS					
Total annual burden		402,084 hours		$126,433,080	$5,584,500

Notes:
1. Includes initial burden estimates annualized over a 3-year period.
2. These PRA estimates assume that the same types of professionals would be involved in preparing these notices that we believe otherwise would be involved in preparing a fund's other regulatory filings. The Commission's estimates of the relevant wage rates are based on salary information for the securities industry compiled by the Securities Industry and Financial Markets Association's *Office Salaries in the Securities Industry 2013*. The estimated figures are modified by firm size, employee benefits, overhead, and adjusted to account for the effects of inflation. *See* Securities Industry and Financial Markets Association, Report on Management & Professional Earnings in the Securities Industry 2013.
3. This estimate assumes that, after the initial 12 hours that a fund would spend complying with the requirement to prepare the required notices of material changes, which we annualize over a 3-year period, the fund would incur 4 additional burden hour associated with this requirement per year. The estimate of 8 hours is based on the following calculation: ((12 initial hours /3) + 4 additional ongoing burden hours) = 8 hours.
4. For purposes of this PRA, we assume that all funds that chose to rely on rule 498B will incur the costs of preparing a summary prospectus. We recognize, however, that this may be an overestimation to the extent that these funds already prepare a summary prospectus because they rely on rule 498.
5. This estimate assumes that, after the initial 30 hours that a fund would spend preparing its summary prospectus, which we annualized over a 3-year period, the fund would incur an additional 10 burden hours associated with ongoing preparation of a summary prospectus per year. The estimate of 20 hours is based on the following calculation: ((30 initial hours /3) + 10 hours of additional ongoing burden hours) = 20 hours.
6. For purposes of this PRA, we assume that all funds that choose to rely on rule 498B will incur the costs of complying with the website availability requirements. We recognize, however, that this may be an overestimation because the set of documents that funds relying on 498B must post online would be identical to the set of documents that are publicly accessible online for funds currently relying on rule 498. Therefore, for funds currently relying on 498, there would be no added burden to comply with this requirement.
7. This estimate assumes that, after the initial 12 hours that a fund would spend complying with the website availability requirements, which we annualize over a 3-year period, the fund would incur 4 additional burden hours associated with ongoing compliance with these website availability requirements per year. The estimate of 8 is based on the following calculation: ((12 initial hours /3) + 4 hour of additional ongoing burden hours) = 8 hours.
8. We assume that 90% of 12,410 funds registered on Form N-1A will rely on rule 498B. 90% x 12,410 = 11,169.

F. Rule 482

In our most recent Paperwork Reduction Act submission for rule 482, we estimated the annual burden to comply with rule 482's information collection requirements to be

278,161 hours, with a time cost of $76,702,895, and with no annual external cost burden.[871] Compliance with the requirements of rule 482 is mandatory, and responses to the information collections would not be kept confidential.

We estimate that 36,994 responses to rule 482 are filed annually.[872] We estimate that approximately 96% of the rule 482 responses provide fee and expense figures in qualifying advertisements and would, therefore, be required to comply with the proposed amendments regarding such information (for example, ensuring that the fee and expense figures are presented in accordance with the prominence and timeliness requirements in the proposed amendments to rule 482). Similarly, we estimate that 96% of the responses to rule 482 provide advertisements that include information regarding a fund's total annual expenses and would, therefore, have to comply with the proposed amendments regarding such information.

The table below summarizes the proposed estimates for internal burdens associated with this new requirement under rule 482:

TABLE 13: RULE 482 PRA ESTIMATES

	Internal initial hour burdens	Internal annual burden[1]	Wage Rate[2]	Internal Time Costs
PROPOSED ESTIMATES FOR RULE 482				

871 This estimate is based on the last time the rule's information collection was submitted for PRA renewal in 2017.

872 In 2019, there were 41,003 responses to rule 482 filed with FINRA and 262 responses filed with the Commission in 2019. Of those, 4,271 were responses from closed-end funds and BDCs. We assume that, moving forward, closed-end funds and BDCs will choose to use free writing prospectuses under rule 433. Therefore, we excluded closed-end funds or BDCs from the total responses to rule 482.

New general requirements re: fee and expense figure disclosure	9 hours	6 hours[3]	$336 (blended rate for compliance attorney and senior programmer)	$2,016
Number of responses to rule 482 that include fee/expense figure disclosure		x 35,514 responses		x 35,514 responses
Total burden of new requirements for fee and expense disclosure		213,084 hours		$71,596,224
New requirements for disclosure of fee waivers/expense reimbursement arrangements	6 hours	4 hours[4]	$336 (blended rate for compliance attorney and senior programmer) -	$1,344
Number of responses to rule 482 that disclose fee waivers/expense reimbursement arrangements		x 35,514 responses		x 35,514 responses
Total burden of annual requirements for disclosure of fee waivers/expense reimbursement arrangements		142,056 hours		$47,730,816
Total annual burden		355,140 hours		$119,327,040
TOTAL ESTIMATED BURDENS INCLUDING AMENDMENTS				
Current burden estimates		278,161 hours		$76,702,895
Revised burden estimate		633,301 hours		$196,029,935

Notes:
1. Includes initial burden estimates annualized over a 3-year period.
2. These PRA estimates assume that the same types of professionals would be involved in preparing these notices that we believe otherwise would be involved in preparing a fund's advertisements. The Commission's estimates of the relevant wage rates are based on salary information for the securities industry compiled by the Securities Industry and Financial Markets Association's *Office Salaries in the Securities Industry 2013*. The estimated figures are modified by firm size, employee benefits, overhead, and adjusted to account for the effects of inflation. See Securities Industry and Financial Markets Association, Report on Management & Professional Earnings in the Securities Industry 2013.
3. This estimate assumes that, after the initial 9 hours that an entity would spend on the proposed fee and expense disclosure, which we annualize over a 3-year period, the entity would incur 3 additional burden hours associated with ongoing compliance with these requirements per year. The estimate of 6 hours is based on the following calculation: ((9 initial hours /3) + 3 hours of additional ongoing burden hours) = 6 hours.
4. This estimate assumes that, after the initial 6 hours that an entity would spend on the proposed fee waiver and expense reimbursement requirements, which we annualized over a 3-year period, the entity would incur 2 additional burden hours associated with ongoing compliance with these requirements per year. The estimate of 4 hours is based on the following calculation ((6 initial hours/ 3) + 2 hour of additional ongoing burden hours) = 4 hours.

G. Rule 34b-1

To apply the same fee and expense-related requirements consistently across all registered investment company and BDC advertisements and supplemental sales literature, we are proposing to amend rules 34b-1 in a manner that mirrors our proposed amendments to rule 482.[873]

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873 *See supra* Section II.I.

We estimate that 351 responses to rule 34b-1 are filed annually.[874] We estimate that approximately 96% of the rule 34b-1 responses provide fee and expense figures in qualifying advertisements and would, therefore, be required to comply with the proposed amendments regarding such information. Similarly, we estimate that 96% of the responses to rule 34b-1 provide advertisements that include information regarding a fund's total annual expenses and would, therefore, have to comply with the proposed amendments regarding such information.

In our most recent Paperwork Reduction Act submission for rule 34b-1, we estimated the annual compliance burden to comply with the collection of information requirement in rule 34b-1 is 26,008 hours, with an internal cost burden of $7.3 million.[875] There is no annual external cost burden attributed to rule 34b-1. Compliance with the requirements of rule 34b-1 is mandatory and the responses to the information collections would not be kept confidential. The table below summarizes the proposed estimates for internal burdens associated with this new requirement under rule 34b-1.

TABLE 14: RULE 34B-1 PRA ESTIMATES

	Internal initial burden hours	Internal annual hour burden[1]	Wage Rate[2]	Internal Time Costs
PROPOSED ESTIMATES FOR RULE 34B-1				
New general requirements re: fee and expense figure disclosure	9 hours	6 hours[3]		$2,016
Number of responses to rule 34b-1 that include fee/expense figure disclosure		x 337 responses	$336 (blended rate for compliance attorney and senior programmer)	x 337 responses
Total annual burden of new requirements for fee and expense disclosure		2,022 hours		$679,392
New requirements for disclosure of fee waivers/expense reimbursement arrangements	6 hour	4 hours[4]	$336 (blended rate for compliance attorney and senior programmer)	$1,344

874 The estimated number of responses filed with the Commission in 2019.

875 This estimate is based on the last time the rule's information collection was submitted for PRA renewal in 2018.